SUPERIOR COURT OF THE STATE OF CALIFORNIA
IN AND FOR THE COUNTY OF SAN MATEO

Complex Law and Motion/CMC Calendar

HONORABLE MICHAEL L. MAU

1050 Mission Road, South San Francisco
Department 20, Courtroom L

May 15, 2026 at 2:00 PM

If you intend to appear on any case on this calendar, you must give notice by 4:00 pm the court day before the hearing pursuant to California Rules of Court, Rule 3.1308(a)(1), and San Mateo County L.R. 3.403(b).

Failure to comply with notice as outlined will result in no oral presentation.

Notice of Appearance and Courtesy Copies

1. **Email Dept20@SanMateoCourt.org before 4:00 pm the court day before with a copy to all parties or their counsel of record. The email must include the name of the case, the case number, and the name of the party contesting the tentative ruling OR call (650) 261-5120 before 4:00 pm the court day before and follow the instructions on the message.**

2. **Courtesy Copies: You must email a copy of any reply brief, or an Opposition to a Motion for Summary Judgment in an Unlawful Detainer matter to: LawAndMotionReplyBriefs@SanMateoCourt.org**

Day of Hearing

Appearances can be In Person or Remote. If appearing remotely by Zoom, please use your first and last name and mute your audio until your case is called. All parties must use a device with a camera if you are appearing remotely. Please login to the zoom hearing by 1:50 pm.

Remote Appearance Zoom Information

RECORDING OF A COURT PROCEEDING IS STRICTLY PROHIBITED.

https://sanmateocourt.zoomgov.com/ **Meeting ID:** 161 576 6143 **Password:** 142907

TO ASSIST THE COURT REPORTER, the parties are ORDERED to: (1) state their name each time they speak and only speak when directed by the Court; (2) not to interrupt the Court or anyone else; (3) speak slowly and clearly; (4) connect from a computer if at all possible, rather than a cell phone; (5) if a cell phone is absolutely necessary, the parties must be stationary and not driving or moving; (6) no speaker phones under any circumstances; (7) provide the name and citation of any cases referenced; and (8) spell all names, even common names.

2:00 PM
Line 2

23-CIV-06178 TERRA PARKER, INDIVIDUALLY AND ON BEHALF OF ALL OTHERS SIMILARLY SITUATED, AND ON BEHALF OF THE STATE OF CALIFORNIA AND OTHER AGGRIEVED PERSONS VS LYRA HEALTH, INC., A CORPORATION

TERRA PARKER, INDIVIDUALLY AND ON BEHALF OF ALL OTHERS SIMILARLY SITUATED, AND ON BEHALF OF THE STATE OF CALIFORNIA AND OTHER AGGRIEVED PERSONS	JUSTIN F. MARQUEZ
LYRA HEALTH, INC., A CORPORATION	CHAD D. GREESON

Plaintiff’s Motion for Preliminary Approval of Class Action and PAGA Settlement

TENTATIVE RULING:

Plaintiff Terra Parker’s (“Plaintiff”) Motion for Preliminary Approval of Class Action and PAGA Settlement is being continued to June 5, 2026, 2:00 p.m. in Dept. 20 – Courtroom L so that Plaintiff’s counsel can remedy the issues identified below.

The proposed Settlement is for $450,000. According to the motion, it is estimated that there are approximately 104 class members. The Net Settlement Amount is estimated to be $221,500. The Settlement will provide a payment of $22,500 to the California Labor and Workforce Development Agency (i.e., 75% of the $30,000 amount allocated to resolve the PAGA allegations). The remaining $7,500 shall be distributed amongst aggrieved employees. The Settlement would provide an estimated $2,129.81 to each class member.

In ruling on class action and PAGA settlements, this Court has a duty to independently determine whether a settlement is fair, reasonable and adequate. (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76 77, disapproved of on other grounds by *Turrieta v. Lyft, Inc.* (2024) 16 Cal.5th 66 ["trial court should evaluate a PAGA settlement to determine whether it is fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws."]; *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 129 [“ ‘The court has a fiduciary responsibility as guardians of the rights of the absentee class members when deciding whether to approve a settlement agreement.’ ”]; *In re Microsoft I-V Cases* (2006) 135 Cal.App.4th 706, 723.)

Review of a proposed class action settlement typically involves a two-step process: preliminary approval and a subsequent final approval hearing. (*Cellphone Termination Fee Cases* (2009) 180 Cal.App.4th 1110, 1118; Cal. Rules of Court, 3.769; Code. Civ. Proc., § 581, subd. (k).)

Precertification settlements in class actions should be scrutinized carefully. (*Cho v. Seagate Technology Holdings, Inc.* (2009) 177 Cal.App.4th 734, 743 (*Cho*).) This is accomplished through careful review by the trial court, and precertification settlements are routinely approved where they are found fair, adequate and reasonable. (*Ibid.*; see also *Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 240, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) "'Due regard,' … 'should be given to what is otherwise a private consensual agreement between the parties. The inquiry "must be limited to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." [Citation.]....'" (*7–Eleven Owners for Fair Franchising v. Southland Corp.* (2000) 85 Cal.App.4th 1135, 1145, quoting *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1802 (*Dunk*).) The test is not whether the maximum amount is secured, but whether the settlement is reasonable under all circumstances. For example, a trial court does not abuse its discretion in approving a settlement when it found that the settlement was achieved at arm's length negotiation, including review of the mediator's declaration; the fact the case was vigorously litigated; plaintiff was represented by experienced counsel; the number of class members who objected or opted out was very small; and plaintiff faced considerable risk in proceeding to trial. (*Cho*, *supra*, at p. 745.)

The trial court possesses a broad discretion to determine the fairness of the settlement; a discretion exercised through the application of a handful of identified criteria. Both the federal circuit courts and our Court of Appeal have adopted a mix of relevant considerations, including "[1] the strength of plaintiffs' case, [2] the risk, expense, complexity and likely duration of further litigation, [3] the risk of maintaining class action status through trial, [4] the amount offered in settlement, [5] the extent of discovery completed and the stage of the proceedings, [6] the experience and views of counsel, ... and [7] the reaction of the class members to the proposed settlement." (*Dunk*, *supra*, 48 Cal.App.4th at p. 1801.) The list of factors is not exhaustive and "should be tailored to each case." (*Id.* at p. 1801.) According to the *Dunk* court, "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Id.* at p. 1801.)

The Court intends to grant the motion, but Plaintiff needs to submit a declaration as to her adequacy to serve as the class representative. (*See Imperial County Sheriff's Assn. v. County of Imperial* (2023) 87 Cal.App.5th 898, 919.) Additionally, the Court has identified the following minor issues with the motion:

- The releases as written in the proposed notice should match what is written in the Settlement (i.e., start with the language that the release is based on claims that were or could have been raised based on the facts in the complaint, etc.).
- The administrator's costs are reported as $20,000 in the Notice, which is different than the 6,000 reported in the Fattahi Declaration.

The Court will decide whether to preliminarily approve Plaintiff's requested incentive award once Plaintiff submits her declaration. Plaintiff should describe her contributions to the class, estimate the amount of hours she spent on this matter, and describe any specific consequences she experienced as a result of serving as class representative.

Lastly, the Court recommends the selection of CASA of San Mateo County as the *cy pres* recipient and suggests that the deadline for sending objections, requests for exclusion and workweek disputes be changed to 60 days.

The Court finds that the remaining requirements for preliminary approval have been met. Plaintiff has sufficiently addressed the following factors:

Plaintiff provided notice to the LWDA as required by Labor Code section 2699.3, subdivision (a)(1)(A). (*See* Fattahi Dec., ¶¶ 4-5, Ex. 1-2.)

The Court finds that the Settlement is preliminarily fair and reasonable. While the Court places reliance on counsel's opinion, the Court "must also receive and consider enough information about the nature and magnitude of the claims being settled, as well as the impediments to recovery, to make an independent assessment of the reasonableness of the terms to which the parties have agreed. We do not suggest that the court should attempt to decide the merits of the case or to substitute its evaluation of the most appropriate settlement for that of the attorneys. However, as the court does when it approves a settlement as in good faith under Code of Civil Procedure section 877.6, the court must at least satisfy itself that the class settlement is within the 'ballpark' of reasonableness. (See *Tech–Bilt, Inc. v. Woodward–Clyde & Associates* (1985) 38 Cal.3d 488, 499–500, 213 Cal.Rptr. 256, 698 P.2d 159.) This the Court cannot do if it is not provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise." (*Kullar*, *supra*, 168 Cal.App.4th at p. 133.)

In this case, the memorandum of points and authorities and declaration of Arrash T. Fattahi provide information regarding each of these factors.

The Settlement was negotiated at arms-length. The parties participated in mediation with Monique Ngo-Bonnici, Esq. on September 10, 2024 which resulted in the instant settlement. Prior to mediation, Class Counsel received significant informal discovery and prepared damages estimates.

The Settlement is within the ballpark of reasonableness. The Settlement is for $450,000. Class Counsel has presented liability and damages estimates based on their evaluation of the records received through discovery and discounted their estimates based on the risks inherent to class action litigation and specific defenses set forth by Defendant. Settling now for a lesser amount than might be received at trial is reasonable given those risks, the cost of going forward, and the time value of money.

There has been sufficient investigation and discovery, and Class Counsel is experienced in similar litigation. Class Counsel received relevant documents from Defendant including a sample of class member payroll and timekeeping records. Mr. Fattahi of Wilshire Law Firm, PLC provides information in his declaration as to his and his colleagues' experience in class action litigation. (Fattahi Dec., ¶¶ 39-48.)

The Court finds that the allocation of the Settlement between the class and PAGA is fair and reasonable. (*Nordstrom Com. Cases* (2010) 186 Cal.App.4th 576, 589 [finding no abuse of discretion to allocate nothing to PAGA in a PAGA/class settlement]). Further, the LWDA has been provided notice of the Settlement and has not objected. (See Fattahi Dec., ¶ 10, Ex. 4.)

Plaintiff has provided information as to the following elements of class certification:

- **Numerosity/Ascertainability**: Plaintiff defines the class according to objective criteria, and the class member identities are available from Defendant's regular business records. The class consists of approximately 104 individuals, making joinder impracticable. The Court finds numerosity and ascertainability.
- **Commonality**: Common issues predominate over whether Defendant violated wage and hour laws.
- **Superiority**: The Court finds the superiority requirement satisfied because of the benefits and efficiencies of this proposed Settlement, when compared to continued litigation of the case on either a class basis or through multiple individual lawsuits.
- **Typicality**: Plaintiff represents that her claims are the same as those of the class members she seeks to represent, and the Court agrees.
- **Adequacy of Representation:** Plaintiff has demonstrated that her counsel is adequate to represent the class. But as noted above, Plaintiff has not provided her own declaration, therefore the Court does not find adequacy of representation at this time.

The Court finds the contents of the settlement notice to be substantively adequate. (Cal. Rules of Court, rule 3.769(f); *Martorana v. Marlin & Saltzman* (2009) 175 Cal.App.4th 685, 694.) The Court also finds the method of notice—first class mail—to be sufficient. (*City of San Diego v. Haas* (2012) 207 Cal.App.4th 472, 502; *Chavez v. Netflix*, Inc. (2008) 162 Cal.App.4th 43, 57; *Wershba v. Apple Computer, Inc.*, *supra*, 91 Cal.App.4th at p. 251.)

The Court finds that Phoenix Class Action Administration Solutions is a qualified settlement administrator and approves its retention, as well as the allocation of $6,000 for its services.

The Court finds the request for attorneys' fees and costs preliminarily reasonable, subject to a lodestar cross-check as described below.

The Court will decide on attorneys' fees, costs and service awards at a hearing based upon a noticed motion, which will be heard on the same date as the hearing on final approval. Class Counsel is to submit evidence supporting each of these requests.

For the attorneys' fees award, counsel shall provide sufficient evidence so that the Court can perform a lodestar cross-check, including either billing records or comparable evidence, including which attorneys or support staff worked on each task, support for the hourly rate as reasonable in San Mateo County, and evidence, if any, supporting an award of a multiplier. For the costs, they shall be sufficiently identified so that the Court can determine their reasonableness.

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, then the matter will be continued as indicated and it shall become the order of the Court by Minute Order.

2:00 PM
Line 3

24-CIV-00585 IN RE ILLUMINA, INC. SHAREHOLDER LITIGATION

LOREN SCOTT MAR, INDIVIDUALLY AND ON BEHALF OF ALL OTHERS SIMILARLY SITUATED ADAM E. POLK

FRANCIS A. DESOUZA KOJI F FUKUMURA

Plaintiff's Motion for Class Certification

TENTATIVE RULING:

Plaintiffs Motion for Class Certification is GRANTED.

The Court finds that the requirements for class certification have been met.

> Section 382 of the Code of Civil Procedure authorizes a class action when "the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court." "[W]e have articulated clear requirements for the certification of a class" under this statute. (*Brinker*, *supra*, 53 Cal.4th at p. 1021.) "The party advocating class treatment must demonstrate the existence of an ascertainable and sufficiently numerous class, a well-defined community of interest, and substantial benefits from certification that render proceeding as a class superior to the alternatives." (*Ibid*.) "The community of interest requirement involves three factors: '(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical on the class; and (3) class representatives who can adequately represent the class.' " (*Linder*, *supra*, 23 Cal.4th at p. 435.) Regarding the first of these factors, we have recognized " '[a]s a general rule' " that " 'if the defendant's liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages.' " (*Brinker*, at p. 1022; see also *Daar*, *supra*, 67 Cal.2d at p. 706.) Relatedly, "In certifying a class action, the court must also conclude that litigation of individual issues, including those arising from affirmative defenses, can be managed fairly and efficiently." (*Duran v. U.S. Bank National Assn.* (2014) 59 Cal.4th 1, 28-29.) Finally, other considerations relevant to certification "include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing." (*Linder*, at p. 435.)

(*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 968–969. *See also* Weil & Brown, Cal. Prac. Guide: Civ. Proc. Before Trial (Rutter, June 2025 Update) ¶ 14:11 ("Under California law, the party seeking class certification must establish three things: [1] the existence of an ascertainable and sufficiently numerous class, [2] a well-defined community of interest, and [3] substantial benefits from certification that render proceeding as a class superior to the alternatives" (citations omitted).

The Court finds that Plaintiffs have met their burden to demonstrate the existence of an ascertainable and sufficiently numerous class, a well-defined community of interest, and substantial benefits from certification that render proceeding as a class superior to the alternative.

In opposition, Defendants raise the following arguments, which they state defeat typicality, adequacy, and predominance: (1) the majority of the putative class members are subject to arbitration agreements but Plaintiffs are not; (2) the majority of the putative class members cannot claim actual reliance on the registration materials because they signed agreements committing them to the merger before the materials were issued; (3) Plaintiffs and some putative class members are subject to a defense of actual knowledge, but many class members are not; (4) Plaintiffs fail to provide a methodology to calculate damages. Defendants do not posit opposition argument on ascertainability, numerosity, adequacy of class counsel, superiority or manageability.

a. Arbitration Provisions

The Court finds that Defendants have acted in a manner inconsistent with an intent to arbitrate, therefore they cannot now assert arbitration provisions as a defense to class certification.

Defendants' Answer/General Denial of Claims fails to assert any right to arbitration as an affirmative defense, nor have Defendants ever brought any motion to compel arbitration in the two plus years that this case has been pending. Thus, any defense of a right to arbitration has arguably been waived. (*See* Illumina Defendants' Answer/General Denial of Claims, filed Sept. 16, 2025.) Defendants asserted that Plaintiffs had not shown that the requirements for class certification were satisfied (Defense No. 14) and that Plaintiffs lacked standing (Defense No. 13), but they did not state that either of these defenses was based on the existence of arbitration agreements for most of the class. "[A]n agreement to arbitrate is an affirmative defense." *Hendershot v. Ready to Roll Transportation, Inc*. (2014) 228 Cal.App.4th 1213, 1224. The argument that since these named Plaintiffs may not have signed arbitration agreements and therefore Defendants did not have to plead this as a defense, was squarely rejected by *Hendershot* ("defendant should assert defenses pertaining to the putative class in its answer" *Id*. at 1225) and making this assertion only by an opposition deprives Plaintiffs of due process.

As Plaintiffs argue, Defendants have brought motions seeking to resolve this case on the merits, including filing a demurrer, a motion for judgment on the pleadings, and a motion to stay proceedings so that the case could be resolved in a pending federal action. Defendants have also conducted discovery and sought a jury trial and at no point have they mentioned the existence of the arbitration agreement they now present to the Court in its opposition. Case law supports a finding that these actions are inconsistent with an intent to arbitrate, which this Court does so find. (See *Hill v. Xerox Bus. Servs., LLC* (9th Cir. 2023) 59 F.4th 45, *DZ Rsrv. v. Meta Platforms, Inc.* (N.D. Cal. 2025) 811 F. Supp. 3d 1072; *Sierra Pac. Indus. Wage & Hour Cases* (2025) 116 Cal. App. 5th 1038, 1057 ["That Sierra Pacific could not move to compel arbitration before class certification does not mean it could not engage in conduct 'so inconsistent with an intent to enforce the contractual right as to lead a reasonable factfinder to conclude that the party had abandoned it.' [Citation]"].)

b. Reliance

The Court finds that Plaintiffs have provided sufficient evidence to demonstrate that it was possible for those investors who signed Support Agreements to have gotten out of their commitments to participate in the merger, therefore demonstrating that it was possible for putative class members to have relied on the registration statement in making their decision to keep their shares and participate in the merger transfer.

As an initial matter, the Court finds that Defendants did not waive their "impossibility of reliance" defense to the extent such a defense is applicable. (*See* Defendants' Answer/General Denial of Claims, Defense No.'s 14, 21.) Additionally, Defendants have shown that their reliance defense applies to putative class members, who Plaintiffs describe as "GRAIL investors who purchased Illumina shares in a uniform exchange on a single day in August 2021." (Reply, p. 10:10-11, emphasis removed.) According to the Registration Statement, investors who signed the Support Agreements represented about 73% of GRAIL common stock and almost 60% of GRAIL preferred stock.

Defendants thus argue that in accordance with *APA Excelsior III L.P. v. Premiere Technologies* (11th Cir. 2007) 476 F.3d 1261, putative class members who signed Support Agreements irrevocably committed to the merger before the Registration Statement was filed, therefore they cannot bring Section 11 and 12(a)(2) claims. However, as Plaintiffs note, following the decision in *APA Excelsior*, the Ninth Circuit in *Hildes v. Arthur Andersen LLP* (9th Cir. 2013) 734 F.3d 854 found that "because it deemed the issue waived, the court in *APA Excelsior* declined to consider plaintiff's argument that they 'were not fully committed to the merger before the registration statement because their commitment was revocable.' [Citation] " (*Hildes*, *supra*, at 861-862.)

Here, Plaintiffs have raised this argument, and the Court finds that their argument is well taken. Plaintiffs point to two sections of the Support Agreement which contemplate the possibility of shareholders transferring their shares prior to the merger agreement.

Section 2 of the Support Agreement is an "Agreement Not to Transfer or Encumber" that provides the following exception:

> the Stockholder may Transfer all or any portion of the Shares to one or more of its controlled Affiliates or a family member that, prior to such Transfer, executes and delivers to the Parent a written agreement, in form and substance reasonably acceptable to Parent, to assume all of the Selling Investor's obligations hereunder and to be bound by the terms of this Agreement to the same extent as the Selling Investor is bound hereunder and to make each of the representations and warranties hereunder in respect of the Covered Shares transferred as the Selling Investor shall have made hereunder.

Section 17 states:

> Each Selling Investor shall not request that the Company register the Transfer (book-entry or otherwise) of any certificated or uncertificated interest representing any of such Selling Investor's Covered Shares, unless such Transfer is made in compliance with this Agreement. Each Selling Investor hereby authorizes Parent to direct the Company to impose stop orders to prevent the Transfer of any Covered Shares on the books of the Company in violation of this Agreement.

Plaintiffs also note that the obligations imposed by the Support Agreements did not technically arise until after the Registration Statement was declared effective, and consummation of the merger was subject to numerous preconditions. As *APA Excelsior* held and *Hildes* reiterated, "a plaintiff seeking to recover under Section 11 'need only show a material misstatement and/or omission in the registration statement and be able to "trace" the security he acquired to that defective statement.' " (*Hildes*, *supra*, at 861, citing *APA Excelsior* at 1271.) Here, the alleged misstatements and omissions can be traced to the security because but for the alleged misrepresentations made by Defendants, the preconditions would not have been met, the Registration Statement would not have been effective, and the merger and transfer of shares would not have happened.

c. Actual knowledge

The Court finds that named Plaintiffs' and some putative class members' employment at GRAIL did not provide them with actual knowledge of the allegations underlying the Section 11 and 12 claims. While both named Plaintiffs and potentially some class members worked on Galleri, it is not GRAIL's work but rather Illumina's promised work on Galleri that underlies the alleged misstatements and omissions in the Registration Statement. (*See* FAC, ¶¶ 166, 297-298.) Other allegations refer to actions taken and internal information known by GRAIL management, such as the board, but Defendants have failed to demonstrate that this knowledge would have been available to non-management level GRAIL employees. (*Id*. at ¶¶ 174, 198-204, 288-292.)

d. Methodology for Calculation of Damages, i.e. *Comcast*

In *Comcast v. Behrend* (2013) 569 U.S. 27, the Supreme Court issued a decision which "emphasi[zed] [] the importance of damages calculations to the analysis of predominance at the class certification stage." (*Fort Worth Emps.' Ret. Fund v. J.P. Morgan Chase & Co.* (S.D.N.Y. 2014) 301 F.R.D. 116, 140.) The Second Circuit summed up the *Comcast* holding by stating that in accordance with *Comcast*, "courts should examine the proposed damages methodology at the certification stage to ensure that it is consistent with the classwide theory of liability and capable of measurement on a classwide basis." (*In re U.S. Foodservice Inc. Pricing Litigation* (2d Cir. 2013) 729 F.3d 108, 123 n. 8, citing *Comcast*, 133 S. Ct. 1426 at 1432-1433.)

Defendants' threshold argument on this issue is that the "Plaintiffs offer no damages methodology at all." Opposition, pg. 19. Lone 4. However, this is incorrect. Plaintiffs state and explain in their motion that damages would be set by statutory formula under the Securities Act, that Section 11 is a strict liability statute, and that all damages are set by a statutory formula. *See*, Motion, pg. 19-20 generally. The referenced Section 11 of the Securities Act of 1933 (15 U.S.C. § 77k) provides:

> The suit authorized under subsection (a) may be to recover such damages as shall represent the difference between the amount paid for the security (not exceeding the price at which the security was offered to the public) and (1) the value thereof as of the time such suit was brought, or (2) the price at which such security shall have been disposed of in the market before suit, or (3) the price at which such security shall have been disposed of after suit but before judgment if such damages shall be less than the damages representing the difference between the amount paid for the security (not exceeding the price at which the security was offered to the public) and the value thereof as of the time such suit was brought.

Defendants raise a two-fold opposition to this argument: (1) the GRAIL shares were privately held and therefore did not have a market price; and (2) there were different types of "bundles of consideration" available to putative class members in exchange for their GRAIL shares, including an option for contingent value rights ("CVRs"), making it very complicated to calculate the exact value of each bundle.

In its reply, Plaintiffs reiterated that Sections 11 and 12 fix mandatory statutory formulas and wrote out the formula as follows:

- **CVR option**: 1 GRAIL share = $4.46 + 0.0138 Illumina shares + 1 CVR
- **Non-CVR option**: 1 GRAIL share = $4.46 + 0.0138 Illumina shares + 0.0022 Illumina shares

These formulas arise from Illumina's Form 8-k reporting the merger, which form listed out the very same two options.

The Court finds that Plaintiffs have demonstrated that the GRAIL shares and the "bundles" are capable of measurement on a classwide basis. Plaintiffs argue that although the GRAIL shares are illiquid assets, it is possible and in fact routine to measure such assets; since all class members received identical Illumina shares in exchange for identical GRAIL securities, the price of GRAIL shares for this transaction is merely a function of the exchange ratio and the Illumina stock received. The Court agrees.

The formulas for the CVR option and Non-CVR option are essentially identical, with the only difference being the option of the CVR. All class members relinquished Grail shares at a singular market value on a single date, and the damage calculation then depends on the price movement of the Illumina shares received. While Defendants argue the CVR valuation is complex, Plaintiffs argue that aspects of the CVR valuation are irrelevant. Both arguments have some merit, but the valuation of the CVR as part of a methodology for calculation of damages is also laid out, i.e. 1 CVR equals 0.0022 shares of Illumina stock. The statutory damages model is thus quite clear, and this is more than sufficient under *Comcast*. "[A]t the class-certification stage (as at trial), any model supporting a 'plaintiff's damages case must be consistent with its liability case." *Comcast Corp. v. Behrend* (2013) 569 U.S. 27, 35. Here, plaintiffs claimed statutory damages model is clearly consistent with its statutory liability case. This is a motion for class certification, and actual "[d]amage calculations have little, if any, relevance at the certification stage before the trial court and parties have reached the merits of the class claims." *Williams v. Superior Court* (2013) 221 Cal.App.4th 1353, 1365.

e. General Requirements for Class Certification

i. Ascertainability and numerosity

Plaintiffs argue that the class is defined by objective facts: "the acquisition of ILMN common stock in exchange for GRAIL securities, all by means of a uniform transaction, on a single day, directly in the August 2021 Merger Exchange." (MPA, p. 17:18-20.) Plaintiffs argue that these facts are "readily identifiable by reference to Class members' and Defendants' records." (*Id*. at p. 17:20-21.)

Plaintiffs argue that the class is also sufficiently numerous because "based on the millions of shares exchanged in the Merger Exchange and traded daily on a national exchange, the Class likely numbers in the thousands with residences across many states." (*Id*. at p. 18:4-6.)

Plaintiffs have demonstrated ascertainability and numerosity.

ii. Typicality

"The 'test of typicality is whether other members have the same or similar injury, whether the action is based on conduct which is not unique to the named plaintiffs, and whether other class members have been injured by the same course of conduct.' [*Martinez v. Joe's Crab Shack Holdings* (2014) 231 CA4th 362, 375, 179 CR3d 867, 877-878 (internal quotes omitted)]." (Weil & Brown, *supra*, at ¶ 14:29.)

Plaintiffs argue that their claims are typical based on the following:

> Each Plaintiff and Class member acquired ILMN common stock in direct exchange for GRAIL securities in connection with the direct, uniform Merger Exchange. [Citations] Plaintiffs and all Class members assert the same strict liability claims against the same Defendants, all of which claims turn on whether the uniform Offering Materials objectively misrepresented and omitted the same material facts. See ¶¶ 156-378, 526-550.

(MPA, p. 22:17-23.) The Court finds that typicality has been met.

iii. Adequacy

Class representatives:

"The class representative, through qualified counsel, must be capable of 'vigorously and tenaciously' protecting the interests of the class members." (Weil & Brown, *supra*, at ¶ 14:36.) "The prospective class representative must file a declaration stating that the person desires to represent the class and understands the fiduciary obligations of serving as class representative. Counsel's declaration to that effect will not suffice. [*Jones v. Farmers Ins. Exch.* (2013) 221 CA4th 986, 998, 164 CR3d 633, 643; *Imperial County Sheriff's Ass'n v. County of Imperial* (2023) 87 CA5th 898, 919-920, 303 CR3d 875, 894-895—Ps failed to meet burden to show they were adequate representatives of class where they failed to file declarations to that effect, but failure did not justify denial of class certification motion, and trial court should have allowed Ps an opportunity to submit supporting declarations from proposed class representatives] (*Id*.)" (*Ibid*.)

Plaintiffs argue that they "(i) understand the requirements and responsibilities of serving as a class representative in this securities class action; (ii) have reviewed certain of the key pleadings in this action; (iii) will continue to supervise and monitor the progress of this litigation; (iv) intend to work with Co-Class Counsel to maximize the recovery to the class; and (v) will continue to work alongside Co-Class Counsel through discovery, trial preparation, and trial, if necessary." (MPA, p. 24:11-15; citing Zerzanek Dec., ¶¶ 6-8; Mar Dec., ¶¶ 6-8.)

The Court finds that Plaintiffs are adequate class representatives.

Class counsel:

"Courts take into account the competency of plaintiff's counsel in determining whether to certify a class: '[T]he Court has an obligation to closely scrutinize the qualifications of counsel to assure that all interests, including those of as yet unnamed plaintiffs are adequately represented … This is because in certifying a class action, the Court confers on absent persons the status of litigants and creates an attorney-client relationship between those persons and a lawyer or group of lawyers.' [*Cal Pak Delivery, Inc. v. United Parcel Service, Inc.* (1997) 52 CA4th 1, 12, 60 CR2d 207, 213 (internal quotes omitted)]." (Weil & Brown, *supra*, at ¶ 14:38.)

Plaintiffs argue that the Co-Class Counsel firms are qualified to conduct this class action because "[b]oth firms have served as lead or colead counsel in many large and significant securities class actions in state and federal courts nationwide" and "both firms have demonstrated their experience and expertise by successfully litigating and resolving similar Securities Act claims in the context of stock-for-stock mergers." (MPA, p. 23:15-21.) Plaintiffs attach the resumes for both law firms as Exhibits 12 and 13, respectively, to the Declaration of Adam Polk ISO Class Cert. Both firms are highly qualified in this area of law, and the Court finds adequacy of class counsel.

iv. Predominance

"Predominant" common question: In essence, this means:

- — "each member must not be required to individually litigate numerous and substantial questions to determine his [or her] right to recover following the class judgment; and
- — "the issues which may be jointly tried, when compared with those requiring separate adjudication, must be sufficiently numerous and substantial to make the class action advantageous to the judicial process and to the litigants." [*Washington Mut. Bank, FA v. Sup.Ct. (Briseno)* (2001) 24 C4th 906, 913-914, 103 CR2d 320, 326 (brackets in original; internal quotes omitted); *Duran v. U.S. Bank Nat'l Ass'n* (2014) 59 C4th 1, 28, 172 CR3d 371, 388-389; see *Sotelo v. Medianews Group, Inc.* (2012) 207 CA4th 639, 652-653, 143 CR3d 293, 304 (disapproved on other grounds by *Noel v. Thrifty Payless, Inc.* (2019) 7 C5th 955, 986, 250 CR3d 234, 258, fn. 15)—in purported class action by newspaper carriers claiming violation of meal/rest break and overtime law, common issues did not predominate where evidence showed wide variation in hours worked, ability to take breaks and hiring of helpers]

(Weil & Brown, *supra*, at ¶ 14:11.6, emphasis removed.)

Plaintiffs argue that "[t]he principal theories of recovery in this case are premised on Sections 11, 12(a)(2), and 15 of the Securities Act." (MPA, p. 19:19-20.) Plaintiffs argue that the prima facie burden for proving these claims "reduces to two overarching common issues – falsity and materiality – which both measure against objective standards and thus will always 'prevail or fail in unison' classwide." (*Id*. at pp. 19:27-20:1; citing *Amgen Inc. v. Connecticut Ret. Plans & Tr. Funds* (2013) 568 U.S. 455, 460.)

Plaintiffs also point out the following common questions: "1) the existence of event and uncertainties under Item 303; 2) whether such were known to Illumina management; 3) the existence of risks under Item 105; 4) whether those risks were the 'most significant' under Item 105; 5) whether those most significant risks were accurately and candidly disclosed in the Offering Materials." (*Id*. at p. 20:13-17.)

Plaintiffs then note that Defendants' affirmative defenses also pose common questions, including "1) whether the 'Safe Harbor provisions of the PSLRA' or ' "bespeaks caution" doctrine' renders the alleged misrepresentations inactionable; 2) whether Defendants exercised due diligence, i.e., conducted a 'reasonable investigation' and had 'reasonable grounds' with respect to the accuracy of the Offering Materials; 3) whether Defendants 'relied in good faith on the representations, reports, expert opinions, and advice of others'; and 4) 'negative causation,' i.e., whether Defendants can prove that any particular declines in Illumina's stock price were caused by something other than the alleged misstatement and omissions of material fact." (*Id*. at p. 21:7-14.)

Plaintiffs have demonstrated that common issues predominate.

v. Superiority and manageability

"In determining whether a class action would be 'superior' to individual lawsuits, courts usually consider: [¶] The interest of each member in controlling the member's own case personally; [¶] The difficulties, if any, that are likely to be encountered in managing a class action; [¶] The nature and extent of any litigation by individual class members already in progress involving the same controversy; [¶] The desirability of consolidating all claims in a single action before a single court. [FRCP 23(b)(3); see *Basurco v. 21st Century Ins. Co.* (2003) 108 CA4th 110, 120, 133 CR2d 367, 374-375 (citing text)*; Lee v. Dynamex, Inc.* (2008) 166 CA4th 1325, 1333, 83 CR3d 241, 248 (citing text) (disapproved on other grounds by *Noel v. Thrifty Payless, Inc.* (2019) 7 C5th 955, 986, 250 CR3d 234, 258, fn. 15); *Johnson v. GlaxoSmith-Kline, Inc.* (2008) 166 CA4th 1497, 1510, 83 CR3d 607, 617 (citing text) (disapproved on other grounds by *Noel v. Thrifty Payless, Inc.* (2019) 7 C5th 955, 986, 250 CR3d 234, 258, fn. 15); *Ghazaryan v. Diva Limousine, Ltd.* (2008) 169 CA4th 1524, 1537, 87 CR3d 518, 529 (citing text) (disapproved on other grounds by *Noel v. Thrifty Payless, Inc.*, supra, 7 C5th at 986, 250 CR3d at 258, fn. 15)]" (Weil & Brown, *supra*, at ¶ 14:16.)

"The manageability requirement under FRCP 23(b)(3) includes consideration of both the manageability of the *trial* and the manageability of the *class.* [See *Zinser v. Accufix Research Institute, Inc*. (9th Cir. 2001) 253 F3d 1180, 1192—class treatment not superior to individual adjudication due to 'formidable complexities' inherent in managing a trial of claims of negligence, products liability and medical monitoring with differing laws] [¶] Class manageability includes consideration of: [¶] — potential difficulty in *notifying* class members of the suit; [¶] — calculation of individual damages; and [¶] — distribution of damages. [*Six (6) Mexican Workers v. Arizona Citrus Growers* (9th Cir. 1990) 904 F2d 1301, 1304; *Koval v. Pacific Bell Tel. Co.* (2014) 232 CA4th 1050, 1063, 181 CR3d 805, 815—in considering whether to certify a class, manageability of individual issues "just as important as the existence of common questions uniting the proposed class" (internal quotes omitted); *Hale v. Sharp Healthcare* (2014) 232 CA4th 50, 65, 180 CR3d 825, 837, fn. 3 (disapproved on other grounds by *Noel v. Thrifty Payless, Inc.*, supra, 7 C5th at 986, 250 CR3d at 258, fn. 15)]" (*Id*. at ¶ 14:16.5.)

Plaintiffs argue that "the Class likely consists of thousands of geographically dispersed individual and institutional investors with nearly identical claims but who cannot be practicably joined." (MPA, p. 25:1-3.) They further argue that "denial of class certification could leave thousands of aggrieved investors entirely without recourse; for example, the uniform stock-for-stock offering from which all the claims in this action arise closed in August 2021, and thus any attempt to assert these claims in any other action—individually or otherwise—may very well be barred by applicable statutes of repose." (*Id*. at p. 25:10-13.) Lastly, Plaintiffs argue that "[i]t is more sensible to concentrate Class members' nearly identical claims here, where this Court has already ruled on substantive motions and is familiar with the facts and law at issue." (*Id*. at p. 25:21-22.)

Plaintiffs have demonstrated that a class action is the superior method of handling this case, and that the class is manageable. Accordingly, the motion for class certification is GRANTED.

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling" (emphasis added). The order should be filed or e-filed only, do not email or mail a hard copy to the Court.